

DCH · FY2025 Q4

Dauch Corporation · 44 turns · 9 participants

CAST (IN ORDER OF APPEARANCE)**David Lim**

Head of Investor Relations

Chris May

Executive Vice President and Chief Financial Officer

Ide Michieli

Analyst, TD Cowen

Jamie

Conference Facilitator

Thomasito

Analyst, RBC Capital Markets

David Dowk

Chairman and Chief Executive Officer

Edison June

Analyst, Deutsche Bank

Jake

Analyst, BMP (on behalf of James Piccarello)

Joe Sack

Analyst, UBS

JAMIE Conference Facilitator

Good morning. My name is Jamie, and I will be your conference facilitator today. At this time, I would like to welcome everyone to the Dow Corporation fourth quarter 2025 earnings conference call. All lines have been placed on mute to prevent any background noise. After the speaker's remarks, there will be a question and answer period. If you would like to ask a question during this time, simply press the star key, then the number one on your telephone keypads. If you would like to withdraw your questions, you may press the star key and then the number two. As a reminder, today's event is being recorded. I would now like to turn the floor over to Mr. David Lim, Head of Investor Relations. Please go ahead, Mr. Lim.

DAVID LIM Head of Investor Relations

Thank you, and good morning. I'd like to welcome everyone who is joining us on Dow Corporation's fourth quarter earnings call. Earlier this morning, we released our fourth quarter of 2025 earnings announcement. You can access this announcement on the Investor Relations page of our website, www.dow.com, and through the PR Newswire services. investor page of our website as well. To listen to the replay of this call, you can dial 855-669-9658, replay access code 577-1070. This replay will be available through February 20th. As for upcoming investor conferences, we'll be at the JPMorgan 2026 Global Leverage Finance Conference on March 3rd. and will also attend the Bank of America 2026 Global Automotive Summit on March 17th. We look forward to seeing you there. Now, before we begin, I'd like to remind everyone that the matters discussed in this call today may contain comments and forward-looking statements that are subject to risks and uncertainties, which cannot be predicted or quantified, and which may cause future activities and results of operations to differ materially from those discussed. For additional information, please reference slide two of our investor presentation or the press release that was issued today. Also, during this call, we may refer to certain non-GAAP financial measures. Information regarding these non-GAAP measures as well as reconciliation of the non-GAAP measures to GAAP financial information is available in the presentation. With that, let me turn things over to our Chairman and CEO, David Dowk.

DAVID DOWK Chairman and Chief Executive Officer

Thank you, David, and good morning, everyone. Thank you for joining us today for our first earnings call at the new Dow Corporation. As a newly combined company, we warmly welcome our new Dowley associates to the team. To-

gether, the future is even brighter as we join together the strengths of two great companies into one robust global automotive supplier. And again, welcome to the Dowley and GCN team members. On this call, we will discuss our financial results for the fourth quarter of 2025 and our full year of 2025, and our guidance for 2026. Joining me on the call today is Chris May, our Executive Vice President and Chief Financial Officer. To begin my comments today, I'll review the highlights of our fourth quarter and full year 2025 financial performance. Next, I will also cover a number of our achievements in 2025. Then I'll discuss the completion of our transformational Dolly acquisition and the benefits that these two companies bring together. After Chris covers the details of our financial results, we will open up the call for any questions that you all may have. So let's begin. We concluded 2025 on a positive note with good momentum. We delivered strong fourth quarter and full year adjusted EBITDA margin growth, reflecting solid performance as we made positive operational progress throughout the year, generating over \$200 million in adjusted free cash flow in 2025. Our 2025 fourth quarter sales were approximately 1.4 billion. For the full year, sales were approximately 5.8 billion. From a profitability perspective, adjusted EBITDA in the fourth quarter was 169 million, or 12.2% of sales. For the full year, adjusted EBITDA was 743 million, or 12.7% of sales, up from 12.2% last year. We experienced margin improvement in both our metal forming and our driveline business units as we remain focused on operational efficiency. Our adjusted earnings per share in the fourth quarter of 2025 was \$0.07 per share. For the full year, adjusted earnings per share was \$0.53 per share. Adjusted free cash flow was \$70 million in the quarter and \$213 million for the full year in 2025. For 2025, we delivered on the financial targets that were outlined last February while navigating a very volatile macro environment. It was a solid performance by our team as we managed factors under our control and remained focused on the fundamental pillars of our company, technology leadership, operational excellence, and quality. Now let's talk about some exciting business news, and please refer to slide four in our investor deck. We're very happy to announce that we will supply our innovative smart bar product to Scout Motors. This is in addition to the front electric drive units and the electric rear beam axles that we announced last year. These wins significantly not only our advanced technology capabilities, but also demonstrate that OEMs can come to us for a variety of products to enhance their vehicle's drive characteristics. In addition, our Asia team received Cherries, Cherry Automotives, Best Supplier Award of the Year for 2025. This is a very prestigious award as it recognizes suppliers for outstanding quality and reliable delivery. We are very honored to receive this recognition from Cherry. Finally, we earned several GM Supplier Quality Excellence Awards as we continue to meet or see GM's rigorous quality performance criteria. Our focus is to operate at a high level to satisfy customer expectations globally. As we manage our day-to-day business, we simultaneously complete a transformational and historical acquisition for our company. The acquisition of the Dowley Group PLC and its subsidiaries, GKN Automotive and GKN Powder Metallurgy. This transaction officially closed on February 3rd of this year, 2026. This acquisition creates a leading global driveline and metal forming supplier, and we now have significant size and scale. a comprehensive powertrain agnostic product portfolio from beam axles supporting North American and global light trucks, side shafts on substantially all global automotive product segments, electric drives for future growth, and metal forming components serving the automotive and industrial markets. These products can support electric, hybrid, and ICE powertrains. We diversified our customer base and balanced our geographic presence across the globe anchored by our strong truck franchise here in North America, and a significant global presence in side shafts. We have compelling industrial logic with an estimated \$300 million in synergies associated with the deal, with an expected full run rate achievement by the end of year three. We expect high margins, earnings, and cash flow potential as a result of this strategic combination. From a business perspective, our strategy has been consistent. We continue to strive to improve and optimize our operations, drive profitability and free cash flow generation, and manage factors under our control. With the acquisition, our focus is achieving efficient integration, delivering the full value capture potential of the transaction, and achieving our financial and operational targets. Synergy realization is a core priority. We established a dedicated integration office early, led by senior leaders from both legacy organizations to drive accountability and execution.

The teams are filling market basket of ideals and making fantastic progress across numerous cost savings verticals. The approximately 300 million of identified synergy opportunities span SG&A, purchasing, and operations. We expect to achieve a 60% annual run rate by the end of the second full year, with the majority of them realized by the end of the year three. Importantly, we anticipate exceeding 100 million in run rate savings by the end of the first year, positioning us well to drive value. Before I hand the call over to Chris, let's talk about our 2026 financial outlook. 2026 will be no less interesting than 2025. In our view, trade policy discussions will continue as USMCA becomes finalized later in the year, And once finalized, OEMs can then fine tune their respective product planning and plant loading decisions. We want to clearly underscore that it is very important and very difficult to speculate the outcome of these discussions. Hence, we will manage our business accordingly. As such, from an end market perspective, we assume 2026 North American production at approximately 15 million units, Europe at approximately 17 million units, China at approximately 33 million units, and global production at approximately 93 million units. Slide seven illustrates the company's 2026 financial outlook. Our outlook takes into consideration a partial year contribution from Daole. And recall, we just closed the transaction on February 3rd of this year. We are targeting sales of 10.3 to 10.7 billion, adjusted EBITDA of approximately 1.3 to 1.4 billion, and adjusted free cash flow in the range of 235 to 325 million. In the longer term, our priorities are to realize strong synergies from our Dolly acquisition and combination, generate solid adjusted free cash flow, strengthen our balance sheet, advance our agnostic product portfolio, position the Dow Corporation for sustained profitable growth, and return of capital to our shareholders. In addition to mark this transformational moment for our company and its shareholders, we recently announced we changed our name from American Axial Manufacturing Holdings Inc. to the Dow Corporation, or DowP. The name isn't just my family name, it's a brand that stands for clarity, confidence, and a commitment to performance, with a legacy of leadership that has helped shape engineering and manufacturing. It represents a responsibility to our stakeholders, a dedication to operational excellence, and a willingness to take bold steps as we strive to exceed today's standards and capitalize on tomorrow's potential. Our new brand honors the strength and shared entrepreneurial spirit of both AEM and GKN, while signaling our commitment to performance with staying power. Under the Unifi brand, we are a premier driveline and metal forming supplier serving the global automotive industry, built on the same foundational pillars of technology leadership, operational excellence, and quality that my father built AAM on. These remain the brand foundation of who we are today, and as our brand platform states, our company is built to perform. I'm proud of the team, what we've accomplished, and I'm looking forward to a positive and productive 2026. That concludes my formal remarks. Let me turn the call over to our Executive Vice President and Chief Financial Officer, Chris May. Chris?

CHRIS MAY Executive Vice President and Chief Financial Officer

Okay. Thank you, David, and good morning, everyone. I will cover the financial details of our fourth quarter and full year 2025 results and our 2026 outlook with you today. I will also refer to the earnings slide deck as part of my prepared comments. So let's go ahead and begin with sales. In the fourth quarter of 2025, our sales were \$1.38 billion, which were flat compared to the fourth quarter of 2024. Slide eight shows a walk of fourth quarter 2024 sales to fourth quarter 2025 sales. BIME, MIX, and other lowered sales by \$2 million. Pricing was \$6 million. And the sale of the commercial vehicle axle business in India, which occurred in mid 2025, lowered sales by \$27 million in the quarter. Metal market pass-throughs and FX increased net sales by approximately \$38 million as both were higher year over year. For the full year of 2025, our sales were \$5.84 billion as compared to \$6.12 billion for the full year of 2024. The primary drivers of the decrease were volume and mix and the sale of our Indian commercial vehicle axle business, partially offset by favorable FX and metal markets. Now, let's move on to profitability. Gross profit was \$140.9 million in the fourth quarter of 2025 as compared to \$154.3 million in the fourth quarter of 2024. Adjusted EBITDA was \$169 million in the fourth quarter of 2025 versus \$160.8 million last year. You can see a year-over-year

walkdown of adjusted EBITDA on slide 9. Although sales volume and mix declined in the quarter, we realized a positive adjusted EBITDA of approximately \$5 million due to mix effect. R&D expense continued to be favorable and was slightly lower year over year, and performance was \$8 million favorable. For the full year of 2025, our adjusted EBITDA was \$743.2 million, and adjusted EBITDA margin was 12.7% of sales. For the full year, this was a 50 basis point margin improvement from 2024. Let's move on to interest and taxes. Net interest expense was \$50.8 million in the fourth quarter of 2025, compared to \$37.3 million in the fourth quarter of 2024. The increase in interest expense in 2025 as compared to 2024 was primarily due to the issuance of new debt in connection to the acquisition of Dollar Lake, which was held in escrow until the closing in February of 2026. In the fourth quarter of 2025, we recorded an income tax benefit of \$10 million compared to an expense of \$6.8 million in the fourth quarter of 2024. Taking all these sales and cost drivers into account, our GAAP net loss was \$75.3 million, or \$0.63 per share, in the fourth quarter of 2025 compared to a net loss of \$13.7 million, or \$0.12 per share, in the fourth quarter of 2024. Adjusted earnings per share, which excludes the impact of items noted in our earnings press release, was \$0.07 per share in the fourth quarter of 2025 compared to a loss of \$0.06 per share for the fourth quarter of 2024. For the full year of 2025, our adjusted earnings per share was 53 cents versus 51 cents per share in 2024. Let's now move to cash flow and the balance sheet. Net cash provided by operating activities for the fourth quarter of 2025 was \$120.5 million compared to \$151.2 million in the fourth quarter of 2024. Capital expenditures netted proceeds from the sale of property, plant, and equipment for the fourth quarter of 2025 were \$66 million. For the full year, we finished at \$250.9 million, or 4.3% of sales. Cash payments for restructuring for the fourth quarter of 2025 were \$2.8 million, and cash payments related to our dollar acquisition were \$25.9 million. Reflecting the impact of these activities, we generated adjusted free cash flow of \$70.1 million in the fourth quarter of 2025. For the full year of 2025, we generated adjusted free cash flow of \$213 million compared to \$230 million in 2024. From a debt leverage perspective, we ended the year with net debt of \$1.8 billion and LTM adjusted EBITDA of \$743 million, calculating a net leverage ratio of 2.5 times at December 31st. This is down from 2.8 times a year ago on December 31st, 2024, driven by our cash flow generation and proceeds we receive from asset sales. During the quarter, we completed our financing for our acquisition of Dolly, and funds were still held in escrow at December 31st, pending the closing of the transaction. You can see the results of the financing activity on our balance sheet. Our strong cash generation and successful financing activity in 2025 allow us to support the Dolly acquisition closing as planned. Before we move to the Q&A portion of the call, Let me provide some thoughts on our 2026 financial outlook. This year will be exciting as we bring two iconic automotive suppliers together. In our earnings slide deck, we have included walks from our 2025 actual results to our 2026 financial targets, and you can find those starting on slide 10. We note that the 2026 figures represent a full year of Dow Corporation, previously AAM, and only a partial year contribution for Dolly, as we did not close the transaction until February. In addition to the regional production assumptions that are in our press release and deck, we assume GM's large pickup and SUV production in the 1.3 to 1.4 million unit range. As for financial guidance, we are targeting sales range of 10.3 to 10.7 billion for 2026. We have provided a break on the walk of the Dowling contribution to sales for a full year, less the portion applicable to the prior period to the closing date. From an EBITDA perspective, we are expecting adjusted EBITDA in the range of 1.3 to \$1.4 billion. Let me provide some color on the key elements of our year-over-year EBITDA walk that is on page 11. This chart walks Dow Corporation's standalone year-over-year variances and then adds the portion related to the Dolly acquisition. As it relates to the standalone variances, we expect EBITDA to be impacted by volume and mix at normal contribution margin rates. R&D optimization should continue and drive approximately \$10 to \$20 million in annual savings. We anticipate continued cost reductions, operational productivity, and efficiency gains, and you can see year-over-year performance improvements as a net favorable \$40 to \$50 million on our walk. We currently expect a headwind for metal market and FX, in particular due to the strengthening of the Mexican peso. We then expect Dowling to contribute approximately \$600 million for the year, which represents a full cost margin of approximately 12.1%. And very importantly, Synergy P&L flow-through is

forecasted to contribute \$50 to \$75 million in adjusted EBITDA in 2026. This equates to a run rate of greater than \$100 million by the end of year one, as momentum builds throughout the year. For our full year guidance, at the midpoint, this performance drives a third consecutive year of margin improvement. As for adjusted free cash flow, we are targeting approximately \$235 to \$325 million in 2026. At this point, the main driver of this range is primarily to align within the EBITDA range. However, as you know, there are many puts and takes that drive cash flow. Our assumption for CapEx is 4.5% to 5% of sales to support multiple upcoming launches, including for our large GM truck programs. We expect core operational restructuring related cash outposts to be in the range of \$110 to \$150 million as the former Dow Lee restructuring initiatives are in their final year of completion. and for the closure of select former AAM facilities. Lastly, we expect cash costs associated with synergy capture to be in the range of \$100 to \$125 million for 2026. Taking a step back, when you read through all of the details, you'll see an expectation of margin growth, and even after absorbing restructuring and synergy costs, real positive cash flow available for debt repayment from our operations in the first year of this transformational transaction. While we do not provide quarterly guidance, we do want to provide some perspective on timing in 2026. As it relates to the revenue cadence for the year, due to meaningful January downtime at key customers and only a partial quarter for Dolly sales contributions, we anticipate the first quarter to be our weakest quarter. In addition, we expect normal seasonal cash outflow in the quarter. Let me provide you with some key housekeeping items for modeling purposes. I know many of you have been reviewing and analyzing published Dowley financial data. However, I just want to remind you that we are on different accounting standards. Dowley is IFRS and Dow is US GAAP, and each company has different adjustment definitions. And you cannot simply add the two figures together as the differences are significant and have been part of our planning since day one. Please see our previously published proxy materials for additional insights. We expect approximately 243 million fully diluted shares outstanding for 2026. We expect normal variable contribution margin on product sales for the new company in the 25% to 30% range, essentially the same as prior. We expect annual cash pension contributions of approximately \$40 million to \$50 million, primarily related to legacy Dowling plans. At this time, use approximately 30% tax rate for book purposes. And cash taxes assume \$150 to \$170 million for 2026. Given the size of this transaction and the fact we just closed less than two weeks ago, there will be significant effects from purchase accounting, transaction costs, and other activity in the first quarter of 2026. We look forward to sharing all this related information with you at our first quarter earnings call. All that said, we are very pleased with how we finished 2025, and we are already starting to see the benefits of our newly sized and named company in 2026. With Synergy Value Capture gaining momentum and the depth of our talent and products, the opportunity is right before us to attain strong financial results as we integrate together. This puts us on the road to deliver best-in-class financial metrics with a more balanced future capital allocation profile. It is a very exciting time at Dow Corporation. Thank you for your time and participation on the call today. I'm going to stop here, and we are happy to take the questions. David?

DAVID LIM Head of Investor Relations

Thank you, David and Chris. We have reserved some time to take questions. I would ask that you please limit your questions to no more than two. So at this time, please feel free to proceed with any questions you may have. Operator?

JAMIE Conference Facilitator

And at this time, we will begin that question and answer session. If you'd like to ask a question, please press star and then one. To withdraw your questions, you may press star and two. Our first question today comes from Joe Sack from UBS. Please go ahead with your question.

JOE SACK Analyst, UBS

Thanks. Good morning, everyone. Maybe just to start, if you could sort of help us at a high level of what you sort of see going on at the two individual businesses, because, you know, for the old American Axle, it looks like it's down 2%, you know, maybe 1% of that's the sales, so down 1%. So what are some of the assumptions there? And then for Dalai, you know, I know you're sort of saying about \$5.4 billion full year, then you don't have the one month. But it looks like there's not really, you know, some growth going on there either. So maybe you could sort of just talk about what happened in that business last you know, in the back half of 25 where we didn't see the financials yet and then what the outlook is even beyond this year.

CHRIS MAY Executive Vice President and Chief Financial Officer

Thanks. Yeah, good morning, Joe. This is Chris. And at this point in time, Dolly has still not completed or published their full year 2025 results, so we will not be able to comment on their full year results. However, you know, in terms of what we're seeing from a sales perspective, for both companies generally I would say are very similar. meaning our core assumptions, as you know, from a North America perspective, are down slightly from 15.3 million units to 15 in 2026. That's our guidance that we have shared with you. Relatively flat in the European market, and from our T1 truck production for legacy Dow Corporation, you can see down slightly year over year. And then you have sort of a net backlog in attrition that's relatively, I would say, flat within the year. So that sort of transitions our sales 25 to 26 on a relatively flat basis.

JOE SACK Analyst, UBS

Okay. Maybe one follow-up on that if you could give us the, you know, the GMT-1 assumption you're looking for for 26. And then the second question is really a clarification because I thought I heard you say, you know, even after the restructuring and this integration cost, like you're generating real free cash, but I mean, I think you're excluding those from your free cash flow, so I'm a little confused because it looks like there's a cash use ex those payments. And then I guess it's on those payments as well. Is this really just a 26 issue? Do we think, like, are there still restructuring and synergy integration costs beyond this year? Thanks.

CHRIS MAY Executive Vice President and Chief Financial Officer

Yeah. I mean, I'll work through each of those pieces. Our T1 assumption for calendar year 26 at this point in time is 1.3 to 1.4 million units. As you know, both companies do supply into that vehicle. And, Joe, as you think about the cash flow question, I guess maybe it's probably easiest to look at maybe our supplemental decks that reconcile to our gap numbers in the tables of our press release or our earnings deck. You can see really subtotal there line generating true free cash flow for the company. Subtract that out, obviously restructuring costs and synergy integration costs. Synergy integration costs, yes, I would expect to continue into 2027. And as we've always stated, from those perspectives, we expect to spend a total of \$300 million to implement our synergies front-weighted to the first two years. From a core restructuring cost, I would expect that to drop significantly as Dowley is in the, or the legacy Dowley business is in the final throes of their significant restructuring that they've been going on the past couple years. And as a standalone Dell Corporation, we are closing a couple facilities that should be done here in 2026. Okay.

JOE SACK Analyst, UBS

But just like when you include those payments, like you are burning cash this year, right?

CHRIS MAY Executive Vice President and Chief Financial Officer

I expect from operations to be net-net after those payments, we will generate cash flow. So, for example, just using the high end for a moment, we have \$325 million of adjusted free cash flow. At the high end of our synergy integra-

tion costs, \$125 million. At the high end of our restructuring costs, \$150 million, which would generate \$50 million of cash flow for the company in 2026, available for debt repayment and other capital allocations. I expect our core operations to generate cash flow after restructuring and synergy costs.

JOE SACK Analyst, UBS

Sorry, then. Then what's this? Sorry to interrupt. So what's the cash payments for acquisition costs that's in that?

CHRIS MAY Executive Vice President and Chief Financial Officer

So think of that as all the closing costs for the transactions that were completed on Feb. 3. So that was funded through financing. That was funded through our cash bill last year. That's really the closing of the transaction, all the fees, et cetera, associated with that. Okay. Really nothing to do with the core operations of the company.

JAKE Analyst, BMP (on behalf of James Piccarello)

Sure.

CHRIS MAY Executive Vice President and Chief Financial Officer

Thanks. Yep.

JAMIE Conference Facilitator

Our next question comes from Tom Narian from RBC. Please go ahead with your question.

THOMASITO Analyst, RBC Capital Markets

Hi, this is Thomasito on for Tom. Thanks for taking the question. For those \$300 million in synergies from the DAO-A combination, I think you've given a rough estimate that about 50% are from purchasing, 30% from SG&A, and 20% from operating efficiencies. My question is, do you think there's any room for upside there, particularly in the operating efficiencies category, after you've been able to see the ballet plants now that the deal is closed?

DAVID DOWK Chairman and Chief Executive Officer

Yeah, Thomas, this is David Dow. The answer to that is yes. I mean, obviously, we're committed to the \$300 million that we identified earlier, as we had publicly communicated multiple through a third-party audit before it could be published. And so we're highly confident we can deliver that \$300 million. As we've said all along, we think the synergy realization will be front-loaded towards the SG&A side of things and some of the initial purchasing initiatives. On the back side will be more of the balance of the purchasing as well as the operational side. We are also limited in getting into the plants when we did the \$300 million initially. We've now had the opportunity to get to the plants, and we see some opportunity to enhance potentially that number. But at the same time, we need to get to all the plants and do the full review before we can make any adjustments to where we are. But, again, highly confident we'll deliver the \$300 million, and we'll see if we can increase that on a go-forward basis. But we'll do that on a quarterly basis as we announce our financials and get more knowledge and familiarity with their business.

THOMASITO Analyst, RBC Capital Markets

Okay, gotcha. And as a quick follow-up, it looks like your 2026 adjusted EBITDA estimate for the combined entity is pretty consistent with the guidance you gave back in June of 2025, even though DALE has released its 2025 preliminary results that exceed its third quarter guidance. I guess in addition to what you have on slide nine, you gave a little more color on what potentially drove estimates lower than what we might have expected. Is it like, if it's a function of those IFRS adjustments, would you be able to quantify the impact of that? Thanks.

CHRIS MAY Executive Vice President and Chief Financial Officer

Yes, certainly. In terms of what we're providing here today, by the way, is very consistent with our thought process all along. There's nothing new here that we're sharing with you today, generally speaking. But in terms of the IFRS adjustments, they are meaningful differences between what DALE reports and what DALE especially reports on their adjusted numbers. So, for example, In their revenue numbers, they include adjusted equity share of their joint venture, which is 50-50, which is unconsolidated. Those sales are grossed up for almost three-quarters of a billion dollars. That would be a sizable difference between the two, so you can't add our sales together if you're using their adjusted sales. And from an EBITDA perspective, that would include things such as how they treat the joint venture. You have pension differences. You have lease differences. You have R&D differences. the delta can be upwards of \$100 million difference. Again, all part of our planning and all the figures that we shared with you previously. But the differences are meaningful.

THOMASITO Analyst, RBC Capital Markets

Okay, great. Thank you.

JAMIE Conference Facilitator

Yep, thank you. Our next question comes from James Piccarello from BMP. Please go ahead with your question.

JAKE Analyst, BMP (on behalf of James Piccarello)

Hey, guys. This is Jake on for James. I just want to follow up on Joe's question on free cash. So at the midpoint of your adjusted free cash side, which rubs out acquisition costs, cash flow is up about \$70 million versus standalone Axel in 2025. So how do we get from here to the targeted \$600 million? Thank you.

CHRIS MAY Executive Vice President and Chief Financial Officer

Yes, certainly. I think your question and your spirit is how do we go forward past 26 in terms of driving our cash flow, well, it'll come in a variety of different buckets. But if you take our midpoint at 280, for example, you have yet another \$250 million plus of synergies that will come into play over the next couple of years just to get to our \$300 million from where we are having EBITDA flow through here in 2026. That would be one. Two, your interest expense will continue to decline post-2026. Remember, and that would be cash interest. You're taking your heaviest load of that, of course, in year one. And as you know, we're fully set up from our financing standpoint from that perspective. You see CapEx. You know, we've articulated through the process we would expect CapEx somewhere between overall, the combined companies going forward, roughly between 4% and 5%. We're a little bit at the top half of that range in 26. As you know, we're launching the next generation of GM full-size trucks. Dolly has a few programs as well that they're launching. But, again, that would moderate a little bit. And then once you get into some, I would say, opportunities to evaluate income taxes over time, that's clearly not something that can happen in year one, potentially some opportunities there. And I would say we would expect to see working capital optimization as we go forward, as well as we bring these two companies together and streamline all those processes over the next year or two. I mean, that's a main driver of this piece. And then, obviously, from just a true cash flow piece, you're restructuring steps down significantly, as I mentioned earlier, into 27 and beyond.

JAKE Analyst, BMP (on behalf of James Piccarello)

Thank you. That's very helpful. And then how are you guys accounting for DALL-A's equity income in your P&L? Thank you.

CHRIS MAY Executive Vice President and Chief Financial Officer

That will be reported as equity income inside of our P&L. It's included in our adjusted even number. It will be in the range of \$65 million to \$75 million. And that's for our 50% share.

JAMIE Conference Facilitator

And if that answers your question, we will move on to Edison June from Deutsche Bank. Please go ahead with your question.

EDISON JUNE Analyst, Deutsche Bank

Hi, thank you. This is for Edison. I just wanted to, hi. quantitatively, I was wondering if you can help us frame sort of the Dolly business directionally on an apples-to-apples basis after adjusting for the accounting differences in terms of, you know, your outlook for 2026 and how that sort of compares to 2025, just, you know, on the underlying core operations. And then my second question is sort of similar to that first question, but specifically on the Spina JD business. Can you maybe help us sort of understand, you know, your expectations for that market and then the relative performance there from the JV? Thank you.

CHRIS MAY Executive Vice President and Chief Financial Officer

Yeah, Wendy, I'll take the first bracket. In terms of, again, 25 to 26, as you know, as I mentioned, Dolly has not published their 25 figures. But big picture-wise, we operate in very similar markets and seeing similar demands from a volume perspective. And also in terms of their restructuring, they've had even heavier restructuring investments they made in the calendar year 25. That's stepping down a little bit here this year. We'll start to see some of those benefits transition into our P&L here in 26 and clearly more meaningful into 2027 on the core operations of the company. From the JV side of the house, obviously this is a significant JV size. Revenues are nearly \$1.5 billion. It's almost exclusive inside of the China market. you would watch that performance continue to be strong and steady. It would mirror a little bit to the macro movements of the China market. So if you track volumes from that perspective, that is helpful in terms of how you think about our joint venture. And as you know, I shared with you what our equity portion is flowing through our EBITDA, but I would also expect, you know, a sizable dividend associated with that.

EDISON JUNE Analyst, Deutsche Bank

Got it. Thank you. If I may just squeeze in, Just for, like, you know, monitoring purposes, how are you sort of planning to report your segments going forward? Is it going to be sort of all integrated, or are you thinking about, like, a different way of segmenting the business?

CHRIS MAY Executive Vice President and Chief Financial Officer

Wendy, I'm sorry. I didn't hear the first part of the question. Can you repeat that, please?

EDISON JUNE Analyst, Deutsche Bank

Yeah, in terms of the segments that you're going to report on a go-forward basis, is it all segmented?

CHRIS MAY Executive Vice President and Chief Financial Officer

Yeah, we'll update you at the first quarter on our segment reporting, but currently, as you know, today we're driveline and metal farming. I expect you'll see something similar, but we've got to finalize that piece. We'll share that with you at the first quarter.

EDISON JUNE Analyst, Deutsche Bank

Great. Thank you.

JAMIE Conference Facilitator

And our next question comes from Ide Michieli from TD Cowan. Please go ahead with your question.

IDE MICHELI Analyst, TD Cowen

Great. Thanks. Good morning, everybody. Good morning. I just want to go back. I just want to go back to the cash restructuring of 110 to 150 million this year. I'm curious if you can dimension the savings from that particular line item. Is that already reflected or a large part of it reflected this year or is there sort of another incremental payback for that we should think about for next year?

CHRIS MAY Executive Vice President and Chief Financial Officer

Yeah, this is Chris. So this is, again, over two-thirds of this relates to, I would say, the The ongoing campaign of restructuring that DALA has seen at several of their factories, moving from high-cost countries to lower-cost countries. This is the final piece of that. You've seen some flow-through in benefits, most likely in 25. You'll see some in 26, but, again, concluding here in 26, you should see a good benefit in 27 associated with that. In terms of the other third, which is the American Axel side, where we are closing a couple of facilities that we started last year and will conclude here this year, you'd start to see that really benefit us here in the year following, meaning 27.

IDE MICHELI Analyst, TD Cowen

Terrific. Thank you, Chris. And just as a quick follow-up, are you able to share any kind of, like, pro forma debt, net debt, like, post the closing of transactions?

CHRIS MAY Executive Vice President and Chief Financial Officer

Yeah, look, I would say, you know, obviously we're still – completing some of the final pieces of the close since it was only 10 days ago. But, you know, we would expect sort of roughly in the ballpark range of about \$4.2 billion at sort of day of closing, if you will. That's, again, very consistent with what we planned on in our cash flow generation and financing activity supported that.

IDE MICHELI Analyst, TD Cowen

Great. Perfect. That's all very helpful. Thank you.

JAMIE Conference Facilitator

And ladies and gentlemen, at this time, we'll be closing our question and answer session. I'd like to turn the floor back over to management for any closing remarks.

DAVID LIM Head of Investor Relations

Great. Thank you all who participated on this call, and we appreciate your interest and doubt. We certainly look forward to talking with you in the future. Thank you.

JAMIE Conference Facilitator

And with that, we'll close today's conference call and presentation. We thank you for joining. You may now disconnect your lines.